



Ministry of Housing, Communities & Local Government

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**Ministry of Housing, Communities and
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2 Marsham Street

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All Private Registered Providers

25 August 2026

Dear Private Registered Providers of Social Housing,

THE SOCIAL AND AFFORDABLE HOMES PROGRAMME

Everyone deserves to live in a decent, safe, secure and affordable home. Yet far too many families in need of one are languishing on local authority waiting lists and almost 180,000 children are growing up in temporary accommodation, including over 100,000 in London. That is why this government committed in its manifesto to delivering the biggest increase in social and affordable housebuilding in a generation and supporting councils and housing associations to make a greater contribution to affordable housing.

After years of marginalisation, we are once again asserting the necessity and the value of social rented homes. They are a crucial national asset to be proud of, to invest in, to protect and to maintain. Under the leadership of the new Prime Minister, the government is also determined not only to build upon the steps we have already taken to reinvigorate council housebuilding but to decisively raise our ambition to ensure we build council houses on a scale not seen in decades.

We also recognise and appreciate the vital contribution that Housing Associations and other providers make to meeting housing need and we fully intend to continue to support you to deliver at scale. You will continue to play a key role in the delivery of social and affordable homes, and we hope you will embrace greater partnership working with councils in the years ahead.

Today, we are setting out initial allocations of funding from the 10-year £39bn Social and Affordable Homes Programme (SAHP) alongside setting out how the Programme will evolve over its 10-year-lifetime.

Social and Affordable Homes Programme

As part of the initial Social and Affordable Homes Programme funding allocations we are setting out today, we are confirming the first Strategic Partnerships designed to support providers who have asked for greater certainty of funding for the duration of the Programme

and are in a position to quickly begin delivering large numbers of new social and affordable homes.

In response to the opening of bidding, we saw an extremely large number of applications and unprecedented appetite for support on the part of providers. We thank everyone who applied for responding to our “call to arms” and submitting ambitious bids.

From an extremely competitive field, funding is being awarded to the highest quality bids as assessed by Homes England. This means that across England (excluding London), 33 providers will receive funding totalling £9.58bn to invest in new social and affordable housing. Nearly two-thirds of the homes built by Strategic Partners through the Programme will be for Social Rent.

The total funding of £9.58bn includes an estimated £2.45bn for delivery in six Established Mayoral Strategic Authority areas outside London, supporting the individual priorities of mayors who set the strategic direction of the Programme in their areas.

The £9.58bn of funding being allocated today through Strategic Partnerships will deliver tens of thousands of social and affordable homes across the country in the coming years, but with £39bn of funding available over the lifetime of the Programme, there is over £16bn of funding outside London, and around £5bn in London still yet to allocate. This includes funding in each year of this Spending Review period (2026-30) and significant sums in the second half of the Programme.

In allocating this funding, the government intends to prioritise Social Rent homes and in particular council homes so that we can achieve the Prime Minister’s ambition to deliver the biggest council housebuilding programme since the post-war boom ended in the early 1980s. That said, funding will also be available for other providers, and we call on partners to come forward with strong bids in respect of specific sites.

In the early years of the Programme, London will receive 30% of the funding, and up to £11.7bn overall across the lifetime of the Programme. As such, we are confirming today that the Greater London Authority intend to offer allocations of at least £6bn to providers of social and affordable housing operating in the capital to support housebuilding efforts there and address the city’s acute need for new social rented homes.

Providers that have submitted SAHP bids will receive separate communications from Homes England or the Greater London Authority regarding their individual application and any associated next steps.

In addition, the £2.5 billion Low Interest Loan scheme will support the delivery of new social and affordable housing by Private Registered Providers, with the loans intended to secure additional homes over and above those delivered with SAHP grant funding alone.

Devolution

We have seen in London what can be achieved when local leaders have the powers, capability and long-term certainty to shape housing investment. We want more mayors to have the opportunity to reach that position.

We therefore intend to ensure that as the Programme progresses more funding will flow directly to EMSAs outside London, building on the strategic direction they have set to ensure decisions about social and affordable housing investment are made locally. I know many of you already work closely with mayors and local leaders in your areas to ensure that all homes meet the needs of local areas, and we encourage this continued collaboration.

Section 106

Section 106 agreements are, and will remain, an essential mechanism for delivering social and affordable housing. They account not only for a significant proportion of affordable home completions, but also a significant share of total new home delivery. Without them, the development pipeline as a whole is at risk of contracting sharply.

In addition to delivering grant funded homes, we need all partners to maximise homes built through Section 106. To speed up the process of drafting and concluding new S106 agreements, we are today launching a [consultation](#) on a standard S106 template for medium sites which would be expected to become the default for applications in the future.

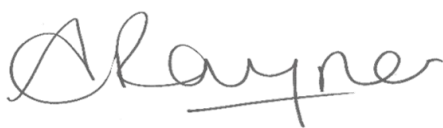
We are also publishing [National S106 Affordable Housing Engagement Guidance](#). This guidance has been developed jointly by the National Housing Federation, Home Builders Federation, Chartered Institute of Housing and Local Government Association and their members, and we thank all those who have contributed to its development. The guidance establishes a shared framework for S106 delivery and sets out the principles of effective engagement between developers, registered providers and local planning authorities. The government strongly encourages partners across the sector to make full use of it.

Further detail on today's announcements can be found in the [Policy Statement](#) and the [full list of Strategic Partners](#).

Working together

As a government, we remain committed to a renewed partnership with the sector. We are calling on providers, developers and local leaders to help us successfully deliver our aims. I am proud of how we have worked together and all we have achieved over the start of this Parliament. I look forward to continuing to work closely with you to deliver the homes this country urgently needs.

Best wishes,



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